# Economics
# Higher level
# Paper 2

### SME Predicted Paper – Moderate

### 1 hour 45 minutes

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### Instructions to candidates

- Do not open this paper until instructed to do so.
- You are permitted access to a calculator for this paper.
- Unless otherwise stated in the question, all numerical answers must be given exactly or correct to two decimal places.
- You must show all your working.
- Answer one question.
- Use fully labelled diagrams and references to the text/data where appropriate.
- The maximum mark for this examination paper is [40 marks].

**Answer one question.**

**1. Read the extracts and answer the questions that follow.**

## Text A — Vietnam: From Rice Fields to Factories

**1.** Vietnam, a Southeast Asian economy of 99 million people, has become one of the fastest-growing economies in the region. Real GDP rose from US$135.5 billion in 2011 to US$409.0 billion in 2022, with average annual real growth of around 6% over the decade. The country has shifted away from subsistence agriculture toward export-led manufacturing.

**2.** Manufacturing now accounts for around 25% of GDP, up from 15% in the early 2000s. The sector is dominated by electronics, textiles and garments, and footwear. Samsung alone accounts for around 20% of Vietnam's total exports, highlighting both the success of FDI and the risks of dependency on a small number of multinationals.

**3.** Vietnam's FDI inflows reached US$22.4 billion in 2022. The government has attracted foreign investment through tax incentives, special economic zones, and trade agreements (including the CPTPP and the EU–Vietnam Free Trade Agreement). Critics argue that, while FDI has boosted exports and employment, the gains have been uneven, with most value-added still captured by foreign firms.

**4.** Economic growth has helped reduce poverty dramatically. The poverty headcount fell from 14% in 2010 to under 5% in 2022. However, income inequality has risen, with the Gini coefficient increasing from 0.35 to 0.38 over the period, and urban–rural gaps have widened.

**5.** Inflation has remained relatively low at around 3% per year, but rising global commodity prices — particularly oil — pose an ongoing risk to the economy, which imports most of its energy.

## Text B — The Role of the Dong

**1.** Vietnam operates a managed-float exchange rate regime, with the State Bank of Vietnam (SBV) periodically intervening to maintain competitiveness of the Vietnamese dong (VND). Over 2022, the VND depreciated by approximately 3.5% against the US dollar.

**2.** A weaker dong makes Vietnamese exports cheaper on world markets but increases the cost of imported oil, machinery and raw materials. This is significant because around 35% of Vietnam's inputs into manufacturing are imported.

**3.** The Vietnamese government is under pressure from international trade partners to allow greater flexibility in the exchange rate, reflecting concerns that currency management gives Vietnamese exporters an unfair cost advantage.

**4.** Meanwhile, the government is investing heavily in infrastructure and education to move Vietnam up the value chain — from low-cost assembly of smartphones toward more sophisticated activities such as chip design and software services.

| | 2011 | 2017 | 2022 |
|---|---|---|---|
| GDP (US$ billion) | 135.5 | 281.4 | 409.0 |
| FDI net inflows (US$ billion) | 7.43 | 14.10 | 22.40 |
| Manufacturing (% of GDP) | 17.3 | 22.0 | 25.0 |

| | **2011** | **2017** | **2022** |
|---|---|---|---|
| Poverty rate (%) | 14.0 | 8.2 | 4.8 |
| HDI value | 0.672 | 0.694 | 0.726 |
| Inflation rate (%) | 18.7 | 3.5 | 3.2 |

*Table 1: Selected indicators for Vietnam, 2011–2022*

## Question 1 continued

**(a)(i)** Define the term FDI indicated in bold in Text A, Paragraph 3. **[2]**

**(a)(ii)** Define the term inflation indicated in bold in Text A, Paragraph 5. **[2]**

**(b)(i)** Using information from Text A, Paragraph 1, calculate the percentage change in Vietnam's real GDP between 2011 and 2022. **[3]**

**(b)(ii)** Using information from Table 1, calculate the average annual change in Vietnam's HDI value between 2011 and 2022. **[2]**

**(c)** Using an AD/AS diagram, explain how the inward FDI described in Text A, Paragraph 3 could contribute to long-run economic growth in Vietnam. **[4]**

**(d)** Using an externalities diagram, explain one negative externality that may arise from the rapid growth of manufacturing in Vietnam (Text A, Paragraph 2). **[4]**

**(e)** Using an exchange-rate diagram, explain how a depreciation of the Vietnamese dong (Text B, Paragraph 1) could affect Vietnam's trade balance. **[4]**

**(f)** Using a Lorenz curve, explain the rise in income inequality described in Text A, Paragraph 4. **[4]**

**(g)** Using information from the text/data and your knowledge of economics, evaluate the view that FDI is the most effective strategy for continuing Vietnam's economic development. **[15]**

**2. Read the extracts and answer the questions that follow.**

## Text A — Kenya: Agriculture and the Climate Challenge

**1.** Kenya is a lower-middle-income country in East Africa with a population of around 54 million. Agriculture is the backbone of the economy, accounting for approximately 22% of GDP and employing around 54% of the workforce. Key agricultural exports include tea, coffee, cut flowers and fresh vegetables.

**2.** Kenya is the world's largest exporter of black tea, accounting for around 25% of global supply. Tea, along with cut flowers and horticulture, provides crucial foreign-exchange earnings. However, most farmers are smallholders with limited access to credit and modern inputs.

**3.** In 2022 Kenya experienced its worst drought in 40 years. Maize production fell by nearly 30%, pushing up food prices and requiring the government to import additional grain. Over 4 million Kenyans faced food insecurity and the government declared a national disaster.

**4.** Kenya runs a persistent current account deficit of around 5% of GDP, reflecting a heavy reliance on imports of fuel, capital goods and food. Remittances from Kenyans abroad — around US$4.0 billion in 2022 — have become an important source of foreign-exchange earnings.

**5.** The government has launched the 'Big Four Agenda' — targeting manufacturing, food security, universal healthcare and affordable housing — funded in part by borrowing. Public debt rose from 48% of GDP in 2015 to around 68% in 2022, raising concerns about debt sustainability.

## Text B — Trade Policy and the African Continental Free Trade Area (AfCFTA)

**1.** Kenya is a signatory to the African Continental Free Trade Area (AfCFTA), which aims to create a single market across 54 African countries by removing tariffs on 90% of goods.

**2.** Supporters argue that the AfCFTA will open new export markets for Kenyan manufacturers and reduce reliance on a few European buyers. Critics warn that Kenyan producers may struggle to compete with cheaper imports from more industrialised African economies such as South Africa and Egypt.

**3.** Kenya also exports large volumes of cut flowers to the EU under preferential terms. These exports — worth US$720 million in 2022 — are sensitive to changes in the EU–Kenya trade relationship, environmental regulations, and carbon border taxes.

**4.** Rising fuel and fertiliser prices in 2022 affected agricultural production costs. The Kenyan shilling depreciated by around 9% against the US dollar, making imports more expensive but supporting competitiveness of exports.

| | 2012 | 2017 | 2022 |
|---|---|---|---|
| GDP (US$ billion) | 56.4 | 82.0 | 113.4 |
| Agriculture (% of GDP) | 27.0 | 23.0 | 22.0 |
| Current account balance (% of GDP) | -8.8 | -5.4 | -5.3 |
| Exchange rate (KES / US$) | 84.5 | 103.4 | 117.9 |
| Public debt (% of | 43.0 | 57.0 | 67.8 |

| | 2012 | 2017 | 2022 |
|---|---|---|---|
| GDP) | | | |

*Table 1: Selected indicators for Kenya, 2012–2022*

### Question 2 continued

**(a)(i)** Define the term current account deficit indicated in bold in Text A, Paragraph 4.  **[2]**

**(a)(ii)** Define the term public debt indicated in bold in Text A, Paragraph 5.  **[2]**

**(b)(i)** Using information from Table 1, calculate the percentage change in Kenya's GDP between 2012 and 2022.  **[3]**

**(b)(ii)** Using a supply and demand diagram, illustrate the likely effect of the 2022 drought (Text A, Paragraph 3) on the Kenyan maize market.  **[2]**

**(c)** Using an AD/AS diagram, explain how the 2022 drought (Text A, Paragraph 3) could affect Kenya's price level and real GDP.  **[4]**

**(d)** Using a tariff diagram, explain how the removal of tariffs under AfCFTA (Text B, Paragraph 1) could affect Kenyan producers competing with cheaper African imports.  **[4]**

**(e)** Using an exchange-rate diagram, explain how an inflow of remittances (Text A, Paragraph 4) might affect the Kenyan shilling.  **[4]**

**(f)** Using a PPC (production possibilities curve) diagram, explain how investment in manufacturing under the 'Big Four Agenda' (Text A, Paragraph 5) could affect Kenya's productive capacity.  **[4]**

**(g)** Using information from the text/data and your knowledge of economics, evaluate the likely economic consequences of Kenya's participation in the AfCFTA.  **[15]**